

Three Different Stock Market Movements

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I n the first place there are the daily fluctuations of which the average trader endeavors to take advantage. These fluctuations may be compared to the ripples on the waters of a bay. They cannot be foretold in any way, and they bear no relation to the intrinsic value of the prospective properties or to conditions in general. Any man who endeavors to make a profit from these movements is, in my opinion, simply a gambler.

Secondly, there are the broad breaks and rallies of from five to ten points, extending over a few weeks and caused by the market's becoming overbought or oversold. These broader movements may be compared to the waves caused by the winds blowing over the waters of a bay. How the winds are to blow no one can tell; but knowing how they are blowing, it is comparatively easy to forecast whether the waters will be rough or smooth. If professional traders would let the market alone, the tide would slowly and regularly advance or recede without these waves, changing in accordance with fundamental conditions; but, owing to their impatience and avariciousness, these operators are continually either pushing the natural movement too far, or else retarding it. If the tendency of the market is thought to be downward, all these operators become bearish and sell